that. The APR might be 3.5 percent + 10.5 percent, or 14 percent. If the prime rate goes up (prodded by the increase in the federal funds rate), then the 14 percent APR will increase by the same amount.

The money supply

The US Treasury is responsible for the actual printing of money, but it's the Fed that is in charge of the money supply. To increase the money supply, the Fed might change the reserve amount that banks must have on hand. If the reserve amount is lowered, banks can lend out more money.

The Fed can also change interest rates. If the discount rate is lowered, then it lowers the cost of borrowing and increases economic activity. But this move could also lead to inflation, so it is done carefully and with great thought.

Another way to increase the money supply in the economy is to conduct open market operations. This action impacts the federal funds rate. Simply put, to increase the money supply, the Fed buys government bonds.

The Fed might want to decrease the money supply. If so, then it does the opposite of what's required to increase the supply. One way for the Fed to decrease the money supply is to change the reserve amount that banks must have on hand. If the reserve amount is increased, banks are forced to decrease lending. Again, the Fed could also change interest rates. If the discount rate is raised, then it decreases the money supply and dampens economic activity.

FED ACTIVITIES

Quantitative easing

Sometimes, a policy called Quantitative Easing (QE) is used to influence interest rates. The Fed buys government securities (a bond-buying program) from the market to try and lower interest rates and increase the money supply. This, in turn, can lead to a more robust economy as consumers find credit cheaper and start borrowing again.

This action is considered unconventional and it's used when more conventional methods haven't stimulated the economy. Since the 2008 recession, the Fed has used a QE policy more frequently than in the past.

After 9-11

On September 11, 2001, terrorists attacked New York City, Washington, D.C., and Pennsylvania, killing many Americans. This tragic event also disrupted the financial markets. The Fed took action to contain the damage and prevent further market instability during a difficult time in American history. Some of the actions included lowering interest rates and loaning billions to financial institutions. Within a few weeks, the US economy had stabilized from the attacks. The Fed played a big role in helping America maintain an even footing during a frightening and unpredictable time.